

Patterns Process and Rules

A foundation

Morning questions:

- What was the prior day's trading like, and the overnight session?
- What are we coming off of the last few days?
- Are we near any key levels, whether derived by market structure, or volume and activity?
- Where are we trading with respect to daily and weekly value?
- Is there anything that stands out positioning wise as a possible extreme, is this positioning in the money still?
- What is the current narrative and sentiment?
- Is there anything we are coming off of macro related, or moving into?
- What is the options market saying?

Always, regardless of timeframe:

Where is the market trying to go? Is it doing a good job of getting there? And is anyone offside?

Developing value, Acceptance vs. Rejection, Balance vs. Imbalance, Change vs. Continuation, and Speed.

Top Down Analysis

WEEKLY CHART (TPO and Candlestick)

- What is the general direction of the market?
- Where do we sit in relation to greater market structure inflection points? Major contextual levels – participation zones. Why are these important?

- What is volume doing?
- Are we in a rotational or trending environment?
- Use trendlines.

1D – 4H

- What is the current trend for the week? Ranging / Trending up / Trending down?
- Where do we sit in relation to the previous week? Above / Below / Within?
- Where are the key weekly levels? VAH / VAL / POC / Major S/R levels?
- What was the previous day type? Balanced / Trend / Double distribution?
- Where have we opened today in relation to the previous value area? Above / Below / Inside?
- Who is in control?
- Where is the market trying to go?
- Is the market over-extended?
- Where might the market be turning?
- Is there evidence that one side is offside and is (or has) losing (or lost) control?
- Are there any TPO chart anomalies? Single prints / Poor lows / Poor highs / Odd distributions / Inefficiencies?

MICROSTRUCTURE (1H – 30m)

- What is our current behavior within the scope of the lower timeframe conditions?
- Where are our microstructural support and resistance zones?
- Do we currently have a strong base for the attempted direction the market is taking?
- Is the market over-extended?
- What are volume, delta, and open interest doing?

IN POSITION

- Where is there friction, i.e., where are the sticky points?
- Where is price likely to speed up?
- Where am I wrong?
- Where can I potentially re-enter if I am stopped out and still correct?